

FEDERAL MARITIME COMMISSION

A CUSTOMS BROKERAGE, INC.

Claimant,

v.

CARGOCARE LOGISTICS USA, INC. AND
CARGOCARE LOGISTICS AMERICA, INC.,

Respondents.

Docket No. 1987(I)

Served: April 4, 2024

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*;
Rebecca F. DYE, Louis E. SOLA, Max S. VEKICH,
Commissioners. Carl W. BENTZEL, *Commissioner*, concurring.

Order Reversing the Initial Decision

On July 17, 2023, the Small Claims Officer (“SCO”) issued an Initial Decision (“I.D.”) finding that Respondents Cargocare Logistics America, Inc. (“CC America”) and Cargocare Logistics USA, Inc. (“CC USA”) had violated 46 U.S.C. § 41102(c) and were jointly and severally liable to Claimant A Customs Brokerage, Inc. (“ACB”) in the amount of \$20,970. Having reviewed the I.D., the record of this case, and the relevant law, the Commission now reverses the I.D. and orders this case DISMISSED WITH PREJUDICE.

I. BACKGROUND

A. The transportation at issue

Claimant A Customs Brokerage, Inc. (“ACB”) is a customs broker that paid ocean freight charges for three shipments on behalf of its client, Brian Trading Co., LLC (“Brian Trading”) upon their arrival at the port of Miami from Cochin, India. I.D. at 1. The containers were shipped from India by Cargocare Logistics PVT

Ltd. (“CC India”), a registered non-vessel-operating common carrier (“NVOCC”). *Id.* The delivery agent on the bills of lading was Respondent CC America. *Id.* ACB had handled shipments of this kind on behalf of Brian Trading before, and the delivery agent on earlier shipments had been Respondent CC USA,¹ but for these three shipments, the delivery agent was CC America. *Id.*

Upon the arrival of the shipments in Miami, CC America as a delivery agent notified ACB. The arrival notice directed, in red font, that ACB should “[p]lease remit payment to the new company: Cargocare Logistics America, Inc. Paycargo: Cargocare Logistics America Incorporated” — that is, to CC America. Nevertheless, ACB paid the freight charges of \$20,970 to the incorrect party, CC USA. I.D. at 6, PF 27, 29.

The correct party, CC America, notified ACB that it would not release the containers until its bill had been paid, so ACB paid another \$20,970 to CC America. I.D. at 6-7; PF 31-32. ACB sought both to get a refund from Respondents² and to cancel its payment via Paycargo but was unsuccessful. I.D. at 7, PF 33. ACB’s claim against CC USA’s bond was denied as not arising from a covered event. I.D. at 8; PF 38. ACB then filed the instant informal complaint with the Commission, alleging that CC America and CC USA’s conduct violated 46 C.F.R. § 515.23 and seeking a refund of the \$20,970 it paid in error to CC USA.

B. Proceedings Before the SCO

CC America filed a response to the complaint and consented to the use of informal procedures. CC USA did not file a response, even when ordered to do so by the SCO. The SCO attempted unsuccessfully on several occasions to elicit a response from CC USA and warned it that its lack of response could lead to the entry of a default judgment. ACB and CC America filed responses to the SCO’s discovery requests and order for supplemental information. The SCO, satisfied that the record was complete, entered a default judgment against CC USA.

In the Initial Decision (“I.D.”), the SCO made 38 factual findings (which she termed “Pertinent Facts Established by the

¹ At the time of the events at issue, CC USA was a registered NVOCC, but its bond coverage was terminated on October 27, 2021, and its Federal Maritime Commission (FMC) registration was cancelled. I.D. at 4, Pertinent Facts Established by the Record (“PF”) 7.

² CC USA was found to have been served by mail to its registration address, but it never participated in this case. I.D. at 2.

Record” and cited as “PF”; for the sake of consistency, we adopt the same abbreviation) that, taken together, led her to conclude that both CC USA and CC America violated 46 U.S.C. § 41102(c).³ Of relevance to this case, the SCO found that:

- CC America is a licensed NVOCC;
- Chase Lao owns an 80% share of CC America and is one of its two directors and its VP, Secretary, CFO, and designated FMC contact person;
- CC USA was a licensed NVOCC until October 27, 2021, when its bond coverage was terminated and, as a result, its FMC license was cancelled;
- Sue Lao owns an 80% share of CC USA and is one of its two directors, its Secretary, Treasurer, CFO, and designated FMC contact person;
- Chase Lao and Sue Lao are sisters and reside at the same address;
- CC America and CC USA are both corporations registered with the California Secretary of State at mailing addresses that are the same as the Lao sisters’ residential address;
- CC India is a registered NVOCC based in Mumbai, India;
- Joy Varghese Pareckattil is CC India’s Chairman, owner, and designated FMC contact person;
- Joy Varghese Pareckattil is also the President and other director of CC America and CC USA, and owns the other 20% share of both entities; and
- The duplicate payments made in error to CC USA were deposited in a bank account it held at Bank of America.

See I.D. at 4-7, PF 3-37.

The SCO ordered the refund to ACB of \$20,970, and that CC USA and CC America were jointly and severally liable. On

³ ACB, like the other parties to this case, is unrepresented. Its complaint asserted a violation of 46 C.F.R. § 515.23, which is inapplicable as it pertains to claims against ocean transportation intermediaries (“OTIs”). Consistent with Commission precedent, the SCO construed the pro se pleadings liberally, and opted to analyze the well-pleaded allegations of the complaint through the lens of 46 U.S.C. § 41102(c). The decision to construe the pleadings liberally was not an error. And in the context of default judgments, if a complaint is unanswered, “[w]ell[-]pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.” 46 C.F.R. § 502.62(b)(6)(i).

August 17, 2023, we requested to review the Initial Decision pursuant to 46 C.F.R. § 502.227.

II. DISCUSSION

A. Relevant Law

It is well established that to prevail in a proceeding under the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand).

When reviewing an initial decision, the Commission has “all the powers which it would have had in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission may, on its own motion, reopen a proceeding for the purpose of taking further evidence and may remand a case to the presiding officer. 46 C.F.R. § 502.230(a), (d).

The Shipping Act at 46 U.S.C. § 41102(c) prohibits common carriers, marine terminal operators, and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. The Commission’s regulation at 46 C.F.R. § 545.4 further requires § 41102(c) claimants seeking reparations to prove that the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis, are unjust and unreasonable, and that the complained-of practice or regulation is the proximate cause of the claimed loss.

B. CC USA

The default judgment against CC USA must be vacated because CC USA could not have violated the Shipping Act. CC USA acted as neither an NVOCC or freight forwarder nor as a delivery agent for the shipments. To violate 46 U.S.C. § 41102(c), “[a] common carrier, marine terminal operator, or ocean transportation intermediary” must “fail to establish, observe, and enforce just and reasonable regulations and practices relating to or

connected with receiving, handling, storing, or delivering property.”

The only reason CC USA is involved in this proceeding was because of Claimant ACB’s erroneous transfer of freight charges to CC USA’s bank account, when CC USA was never involved in Claimant’s shipments as an NVOCC, freight forwarder, or a delivery agent. While Claimant’s predicament caused by its own mistake is understandable, Claimant should go to an appropriate court if it wants to seek a legal remedy against CC USA as an erroneous recipient of funds with respect to Claimant’s bank transaction.

The facts and allegations demonstrate CC USA could not have violated the Shipping Act at 46 U.S.C. § 41102(c). The default judgment against CC USA was erroneous, and the Complaint against CC USA should have been dismissed.

C. CC America

Similarly, CC America cannot have violated the Shipping Act in this case because it acted as a delivery agent, not as an NVOCC, MTO, or even an ocean freight forwarder. Pursuant to 46 U.S.C. § 40102(19), an ocean freight forwarder is “a person that . . . in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers[,] and . . . processes the documentation or performs related activities incident to those shipments.” In other words, to be an ocean freight forwarder, CC America would have had to dispatch the cargo from the United States, but in this case it handled the import cargo in the United States as delivery agent for CC India, which acted as the NVOCC for the shipments in question. Accordingly, CC America could not have violated the Shipping Act on these facts.

In addition, even if we extend our review to include the NVOCC (CC India) for which CC America acted as a delivery agent, CC America’s actions and thus the NVOCC’s actions were reasonable. On behalf of the NVOCC, CC America notified ACB of the shipments’ arrival and specifically asked ACB to pay CC America. CC America or the NVOCC did not mislead ACB about the relevant payment details or induce it to make a payment to CC USA. Assessing and collecting outstanding freight charges was indisputably within the range of lawful activities for the NVOCC and its delivery agent CC America as specified in the Commission’s regulation at 46 C.F.R. § 515.2(k)(11) (an

NVOCC's services include "collecting freight monies from shippers and paying [ocean common carriers] as a shipper on NVOCC's own behalf").

D. Joint and Several Liability

The SCO ordered that CC USA and CC America jointly and severally pay reparations to Claimant based on the finding that CC USA, CC America, and CC India "appear to have acted as one entity, with intertwined operations," such that CC India had constructive possession of the erroneous payment. I.D. at 12-13. Although the SCO does not have to accept every bit of evidence as true and may make reasonable inferences, more than mere speculation is required. *Martin David Thibeaux v. Chris Smith/Chris Smyth, Robert Ewing, Traderland, LLC, and TrILERmania*, FMC Docket No. 1988(I), at 9 (citing *Waterman S.S. Corp. v. General Foundries, Inc.*, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994)). To prevail in an action under the Shipping Act, a complainant must prove its case by a preponderance of the evidence, *i.e.*, that its allegations are more probable than not.

The evidence demonstrated that CC America repeatedly asked CC USA to return the erroneously paid freight charges to the Claimant. CC America's owner repeatedly asked CC USA's owner by stating:

Please pay back the \$20K; The small claims court named CC USA and CC America. You received \$20K; They paid to CC USA by mistake; If the bank froze the account, please forward proof; You are no longer in business. But everyone is chasing after CC America; You can file bankruptcy for the company if in debts. Now everyone is chasing after me, when I have nothing to do with it.

Responding to CC America's owner, CC USA's owner wrote back:

This is related to the business account, like I have told you before, the bank freeze the account, not allowing transfer out; Those money are not in my pocket, I didn't use one cent of it, ...; Money in the account but since CC USA still owes money to BOA, so they don't allow money to go out. I want to return the money for sure.

See CC America’s Response to Complaint, Exhibit G.

Further, CC USA and CC America are separately incorporated and licensed separately by the Commission. The facts and evidence do not support that CC USA, CC America, and CC India acted as one entity with intertwined operations. On the contrary, the facts and evidence demonstrate that one corporation was in financial trouble and winding down its business with its business bank account frozen by the bank. And another corporation was established by a different owner to act as CC India’s delivery agent or its new business partner in the United States.

In any event, CC USA could not have violated the Shipping Act provision because it acted neither as an NVOCC or freight forwarder nor as a delivery agent with respect to the shipments in question. As discussed above, the Complaint against CC USA should have been dismissed.

Nor did CC America violate the Shipping Act provision. CC America and the NVOCC CC India acted reasonably in providing transportation service to Claimant ACB or its customer. The order of joint and several liability with respect to CC USA and CC America was erroneous.

III. CONCLUSION

IT IS ORDERED that the Initial Decision is reversed, and the case is dismissed with prejudice.

By the Commission.

David Eng
Secretary

Commissioner BENTZEL, concurring:

In my view, the Small Claims Officer’s determination should be reversed only because of the legal distinction between Commission’s lack of jurisdiction over a delivery agent and our jurisdiction over regulated entities operating as an NVOCC.

However, I cannot restrain myself from comment on the issue proposed on whether if CC America and CC USA were operating under authority as an NVOCC whether they could be jointly and severally liable. Clearly, in this case we have two companies registered as CC America and CC USA. CC America is licensed as an NVOCC. CC USA had its license revoked in October 2021. The two respective entities are owned by sisters, they do their work in the same place, which also functions as their primary residence. CC USA could not provide service as an NVOCC because license was revoked so, in my view, shifted her focus to unregulated FMC activities such as the function of delivery agent. While this might satisfy legal requirements, I believe that CC America and CC USA “appear to have acted as one entity, with intertwined operations” – I mean conceivably how could two sisters living and working together in the same field not be.